PRIVILEGED & CONFIDENTIAL

BRIGHTWATER ANALYTICS LIMITED v CALDERVALE UNDERWRITING LIMITED

ADVICE ON MERITS AND QUANTUM

Introduction

1. I am asked to advise Brightwater Analytics Limited ("Brightwater") on the merits and likely quantum of its claim against Caldervale Underwriting Limited ("Caldervale") arising from Caldervale's purported termination of the Polaris Agreement on 17 October 2025, and on the offer that should be made in advance of the CMC.

2. In short, I consider Brightwater has a strong claim. I assess prospects of establishing that the termination was wrongful at approximately 70–75%. The principal exposure, after credits, is in the region of £804,000 plus interest, against which Caldervale advances a £160,000 set-off that is, on present material, weak.

Liability

3. The contractual figures are common ground: a three-year committed term, a £420,000 annual licence and a £180,000 implementation fee in two £90,000 milestones. Year 1 and Milestone 1 were paid; Milestone 2 was invoiced on 12 September 2024 following Mr Aldous's signature of the Acceptance Certificate.

4. Caldervale's case turns on availability. The decisive point in Brightwater's favour is the Schedule 4 measurement methodology, which excludes Permitted Maintenance Windows and unavailability attributable to the customer's own network or single sign-on. Applying that methodology, Brightwater's monitoring shows availability at or above 99.5% throughout. Caldervale's raw figures do not apply the contractual exclusions.

5. The 14 June 2025 outage is particularly important. If, as the incident report indicates, it was caused by Caldervale's own single sign-on infrastructure, it is excluded under paragraph 6.3 of Schedule 4 and Caldervale's worst month (June, 97.4%) falls away.

6. There is a second, independent answer. Clause 16.3 requires written notice specifying the breach and 30 days to remedy. The emails of 18 March, 16 June and 30 September 2025 are service queries, not clause 16.3 notices. No compliant notice was given. Even if there had been qualifying breaches, the termination was procedurally bad and therefore wrongful.

7. The principal risk is factual: a court's view of the monitoring evidence and of whether acceptance limits Caldervale's reliance on later failures. I do not regard the acceptance argument as strong for Caldervale, but the availability dispute will turn on expert and documentary evidence and carries the usual litigation risk, hence 70–75% rather than higher.

Quantum

8. The debt claim (Milestone 2, £90,000) should succeed if liability is established; it is a straightforward contractual debt.

9. The damages claim is the loss of two years' licence fees, £840,000 gross. Brightwater must give credit for the cost it would have incurred in performing the unexpired term. On the cost model I

have seen, avoided hosting, support and account-management cost is about 15% of fee, giving a net figure of approximately £357,000 per year, or £714,000 over the two years. Net principal is therefore about £804,000.

10. Interest under s.35A at 4% over base from the relevant dates adds roughly £38,000 to date. The pleaded Schedule of Loss reflects this.

11. The £160,000 set-off is not, on present material, made good: no replacement-services invoices have been produced. Pending disclosure I would not discount the claim materially for it.

Settlement

12. Taking 72% prospects on a net principal of about £804,000 plus interest, the risk-adjusted value is of the order of £600,000–£610,000 before costs. A first offer in the region of £585,000 inclusive of interest, with each side bearing its own costs, is in my view well-judged: it sits just below the risk-adjusted figure, is defensible as a Part 36 / Calderbank offer, and applies useful costs pressure given the weakness of the set-off.

HARRIET STANFORD

Eldon Chambers

12 January 2026